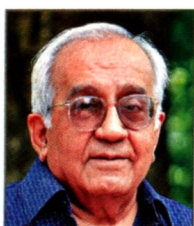


ELECTRIC VISION

Cutting down technical as well as commercial losses and creating more capacity with quick clearances are vital to revive a somnolent power sector



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The sluggish pace of India's power supply needs to be boosted to fuel the country's economic growth. High aggregate technical and commercial (AT&C) losses, which stood at around 33 per cent during 2006-07, stemming from electricity theft as well as transmission and distribution losses, are financially crippling most state electricity boards and distribution utilities. Sick state boards are unable to attract private investors which are crucial to raise the estimated Rs 24 lakh crore needed by 2017 to meet the soaring demand. Then a shortage of coal supply to power plants continues to plague power producers who are reluctant to import expensive coal to meet the high demand. Add to that the gas price dispute between the Ambani brothers. It is not only delaying the supply of gas but also many stations cannot generate all the power they can, despite the potential availability of natural gas. Also, there are delays in acquiring the balance of plant equipment needed for power plants to function. Poor project management, which sees manufacturers failing to give equipment orders on time as well as a lack of equipment standardisation, are causing the delays. If that was not

enough, forest clearance required to open a coal mine is in itself a long process. There are currently 104 pending applications from Coal India. The average time to gain approval at the state level is four years and it is 14 months with the Ministry of Environment and Forests. Procedural issues as well as corruption are to blame for the long process. Some solutions:

▲ **Power flow accounting** AT&C losses need to be slashed by measuring how much power is pumped into each distribution level and how much is actually being billed. We need to find out where the losses are taking place. Political interference into the affairs of electricity boards should be halted.

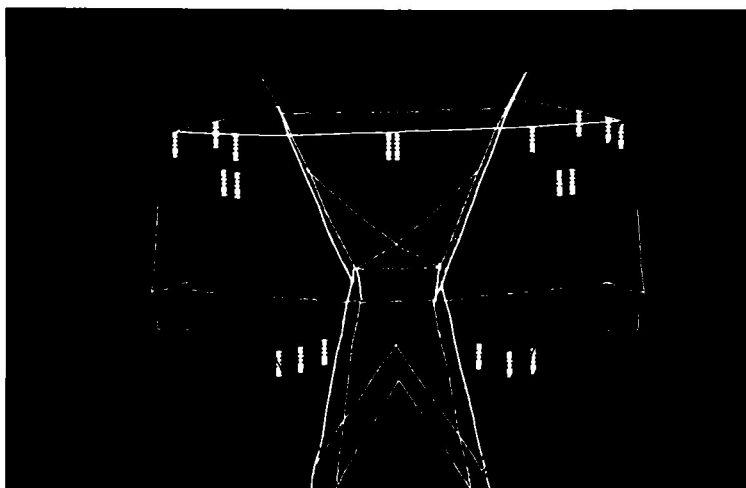
▲ **Separate feeders for farmers** Farmers receive free and subsidised electricity but there is no way of ascertaining how much they consume. Often pilfered electricity is masked as an increase in consumption by farmers. If they are given separate feeders, their consumption patterns can be assessed and power can even be rationed. Utilities can then be appropriately compensated for the subsidised electricity given to farmers by the states.

▲ **Expediting the clearance process** The coal mine clearance process should be simplified. There has to be compensatory forestation for any forest land destroyed to set up a coal mine for which also necessary approvals have to be obtained. A compensation afforestation bank could be set up by Coal India.

▲ **Resolving the gas price dispute** The gas price dispute needs to be settled quickly. The higher the price of gas, the more the government gets, but this cost is paid for by the consumer. The price of gas should be such that it would encourage people to use it in an efficient manner. For this trade parity, a price should be set.

▲ **Balance of plant equipment** A standardisation of plant equipment would cut back on delays. Currently equipment is tailored to the unique design of individual plants. But the gains made in tailoring would not be worth the cost of delays.

as told to Nishika Patel



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